

CHAPTER 6

Kids and Cash

Sometimes I wonder if Santa Claus, the Easter Bunny, and the Tooth Fairy have done a huge disservice to our children. We've taught them that money is magic, and if they really, really want something, invisible beings will leave it for them in the night. It's crazy. And yes, I told my children the same filthy lies. But if I had to do it all over again, here is the bedtime story I'd tell them about money, while tucking them in at night.

Once upon a time, you were born and you were such a beautiful little baby. Everyone was happy when you arrived. Your parents were happy, your grandparents took pictures, but no one was happier than the Bank. That's the Bank cooing at you from behind the glass: "She's here!" said the Bank. "Our future source of unending income!"

Then you left the hospital, and the Bank didn't know where you lived. So the Bank called its friend the Government. After all, the Government issued your Social Security number, so they already had a file open on you. (They stick together, the Bank and the Government.) To the Government, you're a part of an army of citizenship, a future taxpayer. But to the Bank, you're income. When the Bank began to barrage your exhausted parents with persuasive brochures convincing them that they needed to start putting money away for their beautiful baby, it was kind of mean. But soon enough, you had a 529 college savings plan set up—all before you were even weaned.

And so it began. At first, you were a cost to your mom and dad. You needed diapers and toys, and since you didn't have a job yet, you couldn't pay for any of this stuff yourself. So they bought it for you.